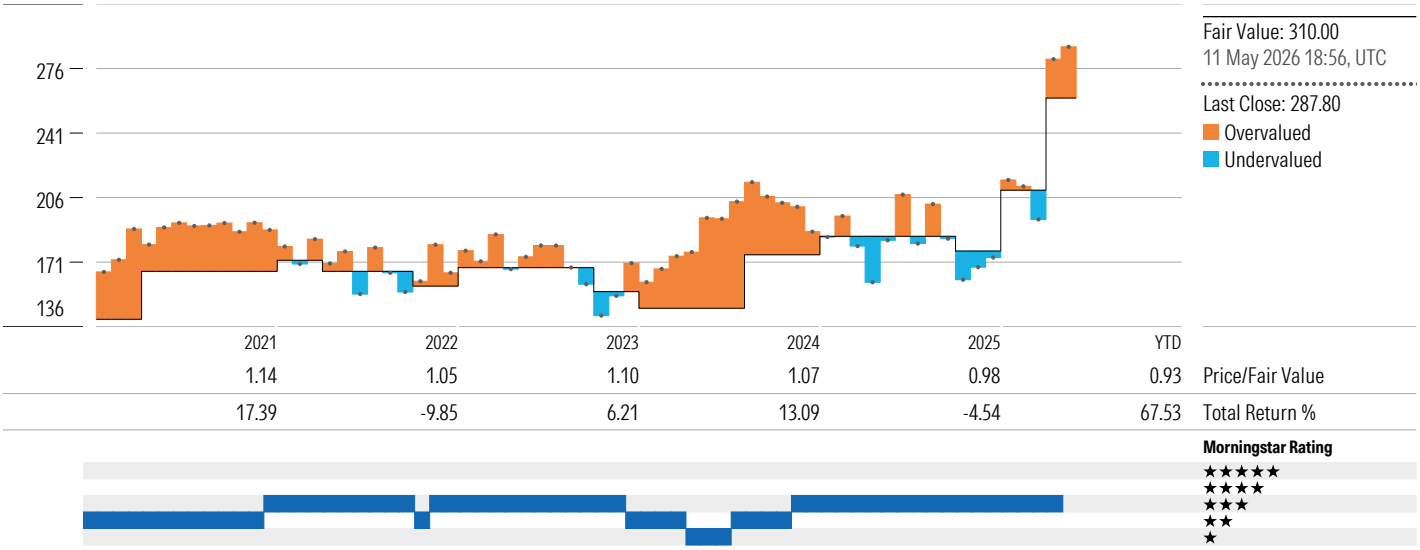
Texas Instruments Inc TXN ★★★ 11 May 2026 18:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
287.80 USD 8 May 2026	310.00 USD 11 May 2026 18:56, UTC	0.93	268.25 USD Bil 11 May 2026	Wide	Large Blend	High	Exemplary	10 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.14	1.05	1.10	1.07	0.98	0.93	Price/Fair Value
	17.39	-9.85	6.21	13.09	-4.54	67.53	Total Return %

Total Return % as of 08 May 2026. Last Close as of 08 May 2026. Fair Value as of 11 May 2026 18:56, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Texas Instruments: Raising Fair Value Estimate to $310 From $260 as Manufacturing Expansion Pays Off

Analyst Note Brian Colello, CPA, Senior Equity Analyst, 11 May 2026

We raise our fair value estimate for wide-moat Texas Instruments to $310 from $260 as we review our postearnings valuation. We think TI's rising in-house manufacturing capacity will emerge as a near and medium term strategic asset as broad-based chip manufacturing becomes constrained.

Why it matters: We've long held a mixed opinion on TI's relatively aggressive manufacturing expansion. We feared it could be a headwind if TI couldn't gain market share and customers didn't care too much about whether TI had greater control of its manufacturing fortunes.

- Instead, we think the optimistic scenario will now play out, where we anticipate that TI can gain new business because it will have sufficient capacity for new orders. Data centers and artificial intelligence spending should enable new business to come TI's way, and we raised our revenue forecast accordingly.
- Infineon and Microchip, among others, have discussed some shortages and constraints within their supply chains. Such shortages may also be possible for TI as it outsources production of leading-edge parts, but we expect TI to be one of the more well-positioned players over time.

The bottom line: We now model 17.5% revenue growth for TI in 2026 (in line with FactSet consensus estimates) and 17.0% growth in 2027 (about $1 billion above consensus). We model low-teens growth thereafter, up a couple of percentage points from our prior estimates, with higher data center revenue.

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Sector Technology

Industry Semiconductors

Business Description

Dallas-based Texas Instruments generates over 95% of its revenue from semiconductors and the remainder from its well-known calculators. Texas Instruments is the world's largest maker of analog chips, which are used to process real-world signals such as sound and power. Texas Instruments also has a leading market share position in processors and microcontrollers used in a wide variety of electronics applications.

- In data center, we assume revenue rises from $1.6 billion in 2025 and $2.8 billion in 2026 to $9.1 billion in 2030, which would represent a 42% CAGR. This growth will not only come from AI market growth and the 800 volt power conversion but from share gains by TI over others.
- With higher revenue, we also model better factory utilization that should lift TI's GAAP gross margin to 62.8% in 2027 and nearly 68% in 2030.

Business Strategy & Outlook Brian Colello, CPA, Senior Equity Analyst, 28 Jan 2026

Texas Instruments is the world's largest analog chipmaker and a key supplier of analog and embedded chips into a wide range of applications, such as cars, industrial devices, data centers, and personal electronics. We're encouraged by TI's relentless focus on higher-margin semiconductors, and when combined with smart operational moves on the manufacturing front, we foresee robust free cash flow generation in the years ahead.

Texas Instruments has a leading share of the fragmented yet lucrative analog chip market. Analog chips are used to convert real-world signals, such as sound and temperature, into digital signals that can be processed. We believe Texas Instruments has a wide economic moat because it benefits from intangible assets around proprietary analog and embedded chip designs, as well as high customer switching costs. Since analog chips are neither particularly expensive, nor do they require cutting-edge manufacturing techniques, high-quality analog chipmakers tend to retain design wins for the life of the product and maintain healthy pricing and strong profitability on such sales over time. Further, Texas Instruments' size allows the firm to compete across a broader spectrum of industries, without its fortunes tied to a single customer or end market.

TI has spent much of the past decade focusing on its analog chip business, especially by producing its chips on more advanced 300-millimeter silicon wafers. This focus has led to strong gross margin expansion. The "easy" expansion is over, and more recently, TI faces risk of over expansion. Nonetheless, we still foresee healthy gross margins in the years ahead, even if TI has bouts of overcapacity from time to time. Increasingly, TI's exposure to data centers is becoming important as TI is supplying a host of analog and embedded content into the once-in-a-generation artificial intelligence buildout.

Bulls Say Brian Colello, CPA, Senior Equity Analyst, 11 May 2026

- Texas Instruments has a leading market share position in the lucrative analog semiconductor market, holding scale advantages that virtually no other rival can match.
- TI's industrial and automotive end markets continue to prosper from the secular trend of higher chip content per device, as sensors, processors, and connectivity enable smarter, greener, safer devices.
- TI is one of several vendors prospering from the shift in AI data centers to 800-volt power systems, which require more complex power semiconductors than less advanced systems.

Bears Say Brian Colello, CPA, Senior Equity Analyst, 11 May 2026

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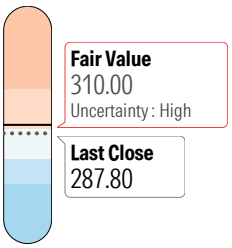
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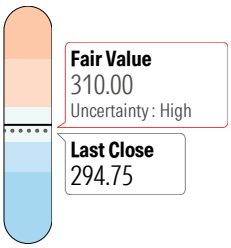
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Competitors

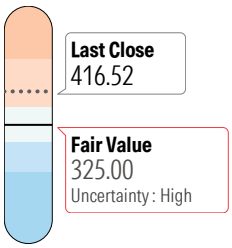
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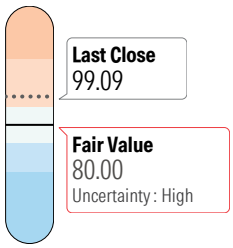
NXP Semiconductors NV NXPI



Analog Devices Inc ADI



Microchip Technology Inc MCHP



	Texas Instruments Inc TXN	NXP Semiconductors NV NXPI	Analog Devices Inc ADI	Microchip Technology Inc MCHP
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	310.00 11 May 2026 18:56, UTC	310.00 8 May 2026 16:35, UTC	325.00 8 May 2026 16:29, UTC	80.00 8 May 2026 16:26, UTC
1-Star Price	480.50	480.50	503.75	124.00
5-Star Price	186.00	186.00	195.00	48.00
Assessment	Fairly Valued 8 May 2026	Fairly Valued 8 May 2026	Overvalued 8 May 2026	Overvalued 8 May 2026
Morningstar Rating	★★★11 May 2026 18:57, UTC	★★★8 May 2026 05:00, UTC	★★8 May 2026 05:00, UTC	★★8 May 2026 05:00, UTC
Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Standard
Price/Fair Value	0.93	0.95	1.28	1.24
Price/Sales	14.24	5.93	17.54	11.46
Price/Book	15.61	6.81	6.02	8.34
Price/Earning	49.28	28.21	76.29	450.41
Dividend Yield	1.94%	1.34%	0.98%	1.77%
Market Cap	261.92 Bil	74.42 Bil	203.35 Bil	53.62 Bil
52-Week Range	152.73—292.64	183.00—303.91	206.00—418.75	48.52—105.91
Investment Style	Large Blend	Large Growth	Large Blend	Mid Growth

- TI has started massive expansion plans into 300 millimeter wafer fabrication plants in recent years. While these plants should deliver a cost advantage to TI when full, some of these fabs may sit empty for extended periods of time.
- If US-China trade tensions continue, customers in China may gravitate toward analog and embedded parts made by Chinese upstarts, rather than those provided by TI.
- Despite its strong position and diverse exposure, Texas Instruments is still vulnerable to the cyclicality of the overall semiconductor industry.

Economic Moat Brian Colello, CPA, Senior Equity Analyst, 23 Apr 2026

We have assigned Texas Instruments a wide economic moat rating, thanks to intangible assets around proprietary analog chip design and manufacturing expertise, as well as switching costs that make it difficult to swap out analog chips for competing offerings once they are designed into a given electronic

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device. As Texas Instruments focuses on analog chips and embedded products like microcontrollers, or MCUs, while significantly diversifying its customer base, we are confident the firm is more likely than not to generate excess returns on capital over the next 20 years.

We believe that leading broad-based chipmakers (which we consider to be those well-versed in analog, mixed signal, and microcontroller semis) benefit from favorable characteristics that lend themselves to economic moats. First, we believe that engineering talent (especially in analog) is difficult to come by, as greater emphasis is placed on digital chip improvements, and it often takes years to train up-and-coming analog engineers in the intricacies of chip designs. Thus, it is extremely difficult for startups to replicate the many years of analog expertise held by incumbents. Leading broad-based chipmakers also face stringent quality requirements in some end markets, such as the automotive industry, for example, where defects can only be tolerated as low as one part per million. Although the broad-based chip market is quite fragmented, it would be difficult for any startup to achieve this level of quality while still being to satisfy high volume production. Furthermore, broad-based semis like analog and MCU parts tend to make up only a small portion of a product's bill of materials, so purchasing decisions tend to be based on performance rather than price, helping firms retain pricing power. Automotive, industrial, and communications infrastructure customers are unlikely to choose an inferior analog chip or MCU to save pennies on the cost of a piece of equipment worth tens of thousands of dollars. A lower quality tolerance might be acceptable in devices with shorter useful lives, such as smartphones, PCs, and consumer gadgets, but moaty chipmakers tend to have limited exposure to these end markets.

Regarding customer switching costs, we believe that engineers loathe to swap out an analog or MCU from an existing design (again, only to save a few pennies on cost) because of the onerous re-design and re-testing costs associated with the switch. Further, customers also become accustomed to the software and development tools used to test and design a given product. Switching to a competing MCU, for example, may involve a bit of a learning curve in the design process. One can imagine the frustration and possible reputational damage to a product if a perfectly functioning electric toothbrush or thermostat were to fail because of an unforeseen change in how the MCU or analog chip interacts with the rest of the circuit board. Again, such damages would be amplified in far more expensive equipment like cars, planes, satellites, and so on.

In our view, Exhibit A for our switching cost thesis could be observed during the global chip shortage of 2021 and 2022. Instead of finding untested suppliers or securing any reasonably performing chip they could get their hands on, automotive and industrial companies halted production of their gadgets until their key chip suppliers could get the proper, reliable, well tested, well-designed parts into their customer's hands. We did not see any meaningful market share loss during the shortage, as customers again waited to receive the necessary chip, rather than re-design their products to take on a lower quality chip instead.

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In addition to these favorable moat sources, broad-based chips are trailing edge products that don't require the hefty investments needed by digital processors, such as CPUs or GPUs, to move down Moore's Law. In turn, broad-based chipmakers profit by having lower ongoing R&D and capital expenditure investments, which helps to contribute to healthy returns on capital for shareholders. Further, buyers of analog semis typically don't demand smaller chips packed with more transistors, but rather, reliable products that deliver the desired accuracy and precision in power management or signal processing. Shrinking the chip might not necessarily enhance accuracy (and might even serve to reduce it), so analog chips tend to be made with lagging edge manufacturing techniques.

Texas Instruments and some of its peers take this benefit one step further by concentrating on end markets where product lives are measured in decades, as opposed to the increasingly short life cycles associated with consumer devices like PCs or handsets. About a quarter of Texas Instruments' total revenue comes from personal electronics devices like smartphones, tablets, and PCs. All else equal, we are less confident in outsize economic profits from chipmakers that serve the handset and PC industries, given the shorter product life cycles, intense competition, and customer concentration as a handful of tech titans exert tremendous buying power.

On the plus side, the size and scale of Texas Instruments' salesforce and field applications engineers allow the firm to reach a broader customer base than peers, which has translated into a share lead for Texas Instruments in the analog chip market. Texas Instruments generates enough revenue to adequately fund this large sales team that only a handful of chipmakers can match, yet its salesforce helps the firm reach more customers and generate additional chip sales that can fund further sales team expansion, creating a virtuous cycle for the company. We doubt that any other analog chipmakers will be able to assemble such a massive sales team in the near future.

Fair Value and Profit Drivers Brian Colello, CPA, Senior Equity Analyst, 11 May 2026

Our fair value estimate for Texas Instruments is $310 per share, which implies 2026, 2027, and 2028 price/earnings ratios of 40, 30, and 24 times, respectively.

TI faced a cyclical downturn with a 12.5% revenue decline in 2023 and an 11% decline in 2024. In 2025, the pendulum swung back toward TI, even with tariff concerns, with 13% growth.

Looking ahead, we anticipate an ongoing cyclical recovery in demand. We model 17.5% growth in 2026 and 17% growth in 2027 as demand normalizes and TI starts to see meaningful revenue associated with the global AI infrastructure buildout. This will bring TI to $24.2 billion in revenue in 2027.

On a long-term, midcycle basis, we model annual growth of 12%-13% each year through 2030. The firm's core analog and embedded chip businesses should prosper from rising chip content in automotive, industrial, and data centers, offset by flattish revenue in the company's other businesses.

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We think TI's expanded in-house manufacturing capacity will serve as a strategic asset that will allow the company to win new business in the near and medium term, particularly given the massive ongoing AI infrastructure buildout where seemingly all types of components and inputs will be in short supply for several more years.

Texas Instruments expanded gross margins for many years, first by focusing on higher-margin analog products and, later, by using the shrewd purchases of used equipment in prior years to gain a cost advantage going forward. For reference, gross margins expanded from 52% in 2013 to 69% in 2022. However, we think the 69% gross margin in 2022 will be TI's peak for quite some time.

Lower sales levels and factory underutilization caused gross margin to fall to 57% in 2025. Higher sales levels will help TI recover a bit to a 60% gross margin in 2026. Thereafter, as revenue grows nicely, we foresee TI's gross margin reaching nearly 63% in 2027 and nearly 68% in 2030.

Operating margin was a stellar 52% in 2022, but came back to earth to 34% in 2025. We think TI's operating margin will rise to 40% in 2026 and 46% in 2027. In the long run, we expect further operating margin expansion to 54% by 2030.

Risk and Uncertainty Brian Colello, CPA, Senior Equity Analyst, 23 Apr 2026

We raise our Morningstar Uncertainty Rating for TI to High from Medium, due to greater uncertainty around tariffs and global trade, in addition to the customary cyclicality that weighs on semiconductor firms. We believe Texas Instruments' biggest risk is exposure to the cyclical chip industry, which may provide headwinds from time to time. Furthermore, relative to some peers like Analog Devices, Texas Instruments has relatively greater exposure to more volatile end markets like PCs and smartphones. TI also faces some risk from US-China trade tensions, as a host of Chinese upstarts are taking aim at the analog and microcontroller markets traditionally led by TI and its US and European peers.

We like Texas Instruments' moves to buy manufacturing equipment at pennies on the dollar a decade ago, which jump-started the firm's efforts in production on 300-millimeter silicon wafers and enabled gross margin expansion. TI will most likely struggle to find such cheap equipment going forward, so future capacity expansion may come with relatively higher costs and some risk that TI will be unable to fill these factories. Meanwhile, the analog chip market is fragmented and based on proprietary designs, so market share shifts tend to be quite gradual, and it remains to be seen whether hearty growth can come to fruition. Additionally, Texas Instruments has revenue from other products, such as calculators, that are likely in secular decline and may weigh on the firm's total top-line growth.

On the environmental, social, governance, or ESG, front, we do not foresee any material ESG issues, or MEIs, on the horizon. Perhaps the greatest risk is the scarcity of experienced analog talent within the industry, but Texas Instruments has a proven track record of innovation and developing analog engineers internally, in our view.

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Capital Allocation Brian Colello, CPA, Senior Equity Analyst, 28 Jan 2026

We assign Texas Instruments an Exemplary Capital Allocation Rating. The rating reflects our assessments of a sound balance sheet, exceptional investments associated with the firm's strategy and execution, and attractive and appropriate shareholder distribution policies.

We view Texas Instruments as a well-run organization. Haviv Ilan took over the CEO role in April 2023 and the chairman role in January 2026, succeeding Rich Templeton, the longtime chairman and CEO. We view the transfer of leadership to Ilan as a natural and logical succession plan.

TI has a sound balance sheet, taking on leverage at attractive interest rates and using such funds to aid in capital distributions to shareholders. We're especially fond of the firm's investments in 300-millimeter wafer production a decade ago, which enabled significant gross margin expansion over the past several years. We think TI generally does a very good job of making investments that add value to the firm.

Texas Instruments has some shareholder-friendly initiatives, such as providing investors with a capital-allocation strategy update in each of the past several years. The management team has done an excellent job in focusing on redistributing excess cash to shareholders, as the firm has raised its dividend to $1.42 per quarter. TI has also averaged over $2 billion of stock buybacks per year from 2012 to 2025, and we think it's likely that buybacks will remain a core part of TI's capital allocation policy. We're also encouraged by management's goal to convert 25%-35% of its revenue into free cash flow and intentions to distribute 100% of that free cash flow (less debt repayment) to shareholders. Texas Instruments may tap the debt markets to boost these programs, if interest rates are below either the rate of inflation or the company's dividend yield. All in all, we applaud Texas Instruments' capital-allocation moves in recent years.

Analyst Notes Archive

Texas Instruments Earnings: All Aboard the AI Train; Raising Fair Value Estimate to $260 From $210
Brian Colello, CPA,Senior Equity Analyst,23 Apr 2026

Texas Instruments reported first-quarter revenue of $4.8 billion, up 19% year over year and above the high end of guidance. TI guided second-quarter revenue of $5.2 billion, which would represent 17% year-over-year growth, well ahead of the $4.87 billion FactSet consensus estimate. Why it matters: TI reported a blowout quarter, as the cyclical recovery in industrial semis is in full swing while the firm is tied into the artificial intelligence infrastructure buildout. TI's data center chip business grew 90% year over year and looks to be a rapid and material growth driver for the company. Industrial is TI's largest end market at 33% of revenue in 2025, and revenue rose in the first quarter by about 30% year over year. TI is seeing a recovery in industrial chip orders across all geographies and subsegments, such as

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Texas Instruments Inc TXN ★★★ 11 May 2026 18:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
287.80 USD 8 May 2026	310.00 USD 11 May 2026 18:56, UTC	0.93	268.25 USD Bil 11 May 2026	Wide	Large Blend	High	Exemplary	10 May 2026 05:00, UTC

robotics and aerospace/defense. TI's data center exposure mostly lies in power semis that we believe are mostly built in-house. Its focus on having abundant capacity to take on new customer orders appears to be serving the company quite well in AI. The bottom line: We raise our fair value estimate for wide-moat TI to $260 from $210. Shares appear fairly valued as we model stronger long-term revenue growth and higher gross margins as TI further participates in the AI buildout. Shares rose 10% after hours, and we think the reaction is justified. We now model TI growing at a roughly 10% pace from 2027 through 2030 in our model, ahead of our prior assumptions of mid- to high-single-digit growth for TI and its analog peers. The incremental growth should stem from new power semis content going into AI rack-scale solutions. TI also anticipates that strong demand should support chip pricing in 2026. Pricing in recent months has been flattish versus the industry norm of low-single-digit declines. Pricing in the second half of the year may rise sequentially as industrial and data center customers scramble for supply.

Texas Instruments: Provides a Steady Capital Management Update; Maintaining $210 Fair Value
Brian Colello, CPA,Senior Equity Analyst,24 Feb 2026

Texas Instruments held its annual capital management call for investors. Key updates to the firm's financial targets included reducing 2026 capital expenditures to $2 billion-$3 billion and raising its days of inventory target to 150-250 days, up from 130-200 days. Why it matters: There were few surprises from TI's call. The firm's targets and strategy are truly focused on the long term, so we view the target adjustments as marginal and as a reflection of current business conditions, rather than a sharp shift in plans. The bottom line: We maintain our $210 fair value estimates for wide-moat TI. Shares sold off about 3% on the news, but we view shares as fairly valued. We suspect the disappointment stemmed from TI's forecast of $8 of free cash flow per share in 2026, compared with its prior target of $8-$12. However, the high end of this range was always a stretch given current business conditions and TI's revenue levels. The expansion of the days of inventory target might also be a concern for some investors, as TI will likely sit on inventory for a longer period. For investors who fear TI is expanding too quickly, the prospect of high ongoing inventory levels may be a concern. Big picture: TI's manufacturing expansion remains on track. We acknowledge there's a risk that the expansion is too aggressive rather than conservative, but we anticipate that this strong management team will balance expansion with end-demand conditions as time progresses. Another theory we have, at first glance, on the poor market reaction is that the lower capex implies that TI already expanded too quickly, as lower capex, despite the pending acquisition of Silicon Labs, seems counterintuitive. We wouldn't make this leap for TI just yet, as it's still entirely possible for TI to boost its future capex plans as core business conditions improve following the cyclical downturn we just experienced.

Texas Instruments: Acquisition of Silicon Labs Makes Sense Despite the Premium; Maintaining $210 FVE Brian Colello, CPA,Senior Equity Analyst,4 Feb 2026

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Texas Instruments announced the all-cash acquisition of Silicon Labs for $7.5 billion or $231 per share, a 69% premium to Silicon Labs' share price. The deal is expected to close in the first half of 2027, and TI anticipates $450 million in cost synergies within three years of closing. Why it matters: We think TI is paying a premium of 69% for Silicon Labs, but the acquisition makes sense from a product perspective. Silicon Labs should bring above-average revenue growth to TI, while TI can benefit by bringing Silicon Labs' production in-house. At a high level, TI will need to receive more customer orders to fill its new 300-millimeter wafer fabs, and bringing Silicon Labs into the TI fold should keep these fabs better utilized. TI highlighted some cross-selling opportunities with Silicon Labs' products, which we think is an attainable benefit. Silicon Labs' expertise in embedded wireless products should boost TI's overall product breadth, but it wasn't a gaping hole in TI's lineup, in our view. The bottom line: We maintain our $210 fair value estimate for wide-moat TI and view the shares as fairly valued. Shares fell about 3% pre-market, as we suspect investors balked at the high premium to be paid. We don't view the "overpay" as especially material to our fair value estimate. TI expects the deal to be accretive to EPS in the first year post-close. Ultimately, we expect the math to work, as the cost synergies and improved factory utilization for TI will offset the high premium paid. We expect the deal to be approved by regulators, and we don't foresee another bidder swooping in to drive up the price for TI. Coming up: TI will host its usual capital allocation investor call on Feb. 24. In the meantime, TI reiterated its commitment to maintaining its current investment-grade rating and returning 100% of free cash flow to shareholders over time.

Texas Instruments Earnings: Raising Fair Value to $210 From $177 Thanks to Data Center Optimism

Brian Colello, CPA,Senior Equity Analyst,28 Jan 2026

Texas Instruments reported fourth-quarter revenue of $4.4 billion, down 7% sequentially but up 10% year over year and at the midpoint of guidance. TI's first-quarter guidance calls for revenue of $4.5 billion at the midpoint, up 11% year over year and ahead of FactSet consensus estimates.Why it matters: We're impressed with TI's guidance as it benefits from a cyclical recovery in the industrial end market. Meanwhile, TI is starting to emerge as an artificial intelligence beneficiary, disclosing annual data center revenue for the first time at $1.5 billion, up 64% in 2025. TI's data center business grew 70% year over year in the fourth quarter. Industrial chip revenue also fared well, up about 18% year over year. Automotive chip revenue is also recovering, up 8% year over year after two years of sluggish sales amid an inventory correction. The bottom line: We raise our fair value estimate for wide-moat TI to $210 from $177, partially due to the time value of money as we roll our valuation model, but more important, as we're more bullish on TI's long-term growth as it participates in the once-in-a-generation AI infrastructure buildout. Our new fair value estimate implies a 2027 price/earnings ratio of 25 times. Shares rose as much as 9% after hours to the $213 range, and we view shares as fairly valued. TI remains a best-of-breed analog chipmaker, and it's possible that newfound data center revenue might soak up some of the hefty capacity expansion TI is making in the years to come. Coming up: TI's first-

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quarter revenue forecast points to above-seasonal growth in the industrial end market, which we think points to a cyclical recovery. Meanwhile, like many other tech component makers, no slowdown in AI chips appears to be on the near-term horizon. TI will also provide investors with its usual capital management update on Feb. 24, where we expect an update on TI's manufacturing plans.

Texas Instruments: We View CES 2026 as a Robotics Show, and TI Is Poised to Play a Role Brian Colello, CPA,Senior Equity Analyst,9 Jan 2026

We met with executives at Microchip, Texas Instruments, and STMicro at CES 2026 in Las Vegas. Our conversations centered around artificial intelligence, robotics (including humanoids), and automotive chip opportunities. Why it matters: Our main takeaway from CES 2026 is that it is starting to morph into a robotics convention—specifically humanoids but also traditional. AI was predictably discussed on the convention floor, but development of "physical AI," such as robotics, is well underway. We're impressed with the progress made by a host of companies in humanoids for both industrial and consumer use cases. We think broad-based chipmakers should benefit from rich chip content in these devices, potentially hundreds of dollars per robot. We saw various humanoids with 50-plus degrees of freedom, or joints, with impressive dexterity in hand motions. Chipmakers will likely sell microcontrollers, motor drivers, power management, a variety of sensors, and vision chipsets into these robots over time. The bottom line: We maintain our $177 fair value estimate for wide-moat TI. Shares appear slightly overvalued to us. Humanoids are unlikely to affect valuations in 2026, but we think the tidal wave is coming, with some estimates of mass market adoption arriving in late 2027 or 2028. Safety and security were discussed with humanoids, and this is another area where all three companies can provide secure solutions to support the additional software needed to not only manage robots but keep them safe for humans. Coming up: Earlier in the week, TI's peer, Microchip, positively preannounced revenue for the December quarter, as the company's order patterns are snapping back after a severe cyclical downturn in 2024. Microchip's guidance could bode well for a recovery in industrial chip revenue for TI.

Texas Instruments Earnings: Cutting Fair Value to $177 From $185 on Disappointing Near-Term Outlook Brian Colello, CPA,Senior Equity Analyst,22 Oct 2025

Texas Instruments' third-quarter revenue was $4.74 billion, up 14% year over year, up 7% sequentially, and toward the high end of guidance. However, the midpoint of fourth-quarter revenue guidance of $4.40 billion was below FactSet consensus estimates of $4.51 billion. Why it matters: TI is still seeing a cyclical upswing in business conditions but admitted that the recovery was not as strong as anticipated, likely due to macroeconomic concerns. Third-quarter revenue was strong, with industrial chip revenue up 25% year over year. TI is also participating in artificial intelligence buildouts as robust data center chip demand led TI's enterprise and communications (that is, wired) chip revenue to be up 35% and 45% year over year, respectively. However, in addition to the disappointing revenue forecast, fourth-quarter EPS guidance of $1.26 was also below consensus. The guidance suggests that TI will

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incur factory underutilization that may limit gross margin to the 54%-55% range, below historical standards. The bottom line: We reduce our fair value estimate for wide-moat Texas Instruments to $177 from $185 due to lower gross margin estimates as business conditions recover. Shares appear modestly undervalued. Shares sold off about 8% after hours, and while we're disappointed with the forecast as well, we think the market's reaction might be a bit too punitive. We still anticipate a solid recovery for TI over the next 18 months and think the company can return to over $8 of EPS by 2027. Our fair value estimate implies a 2027 price/earnings multiple of 21 times. Coming up: TI's fourth-quarter revenue guidance represents a 7% sequential decline, which we view as in line with normal seasonal patterns. Revenue would be up 10% year over year, a deceleration from the 14% growth in the third quarter.

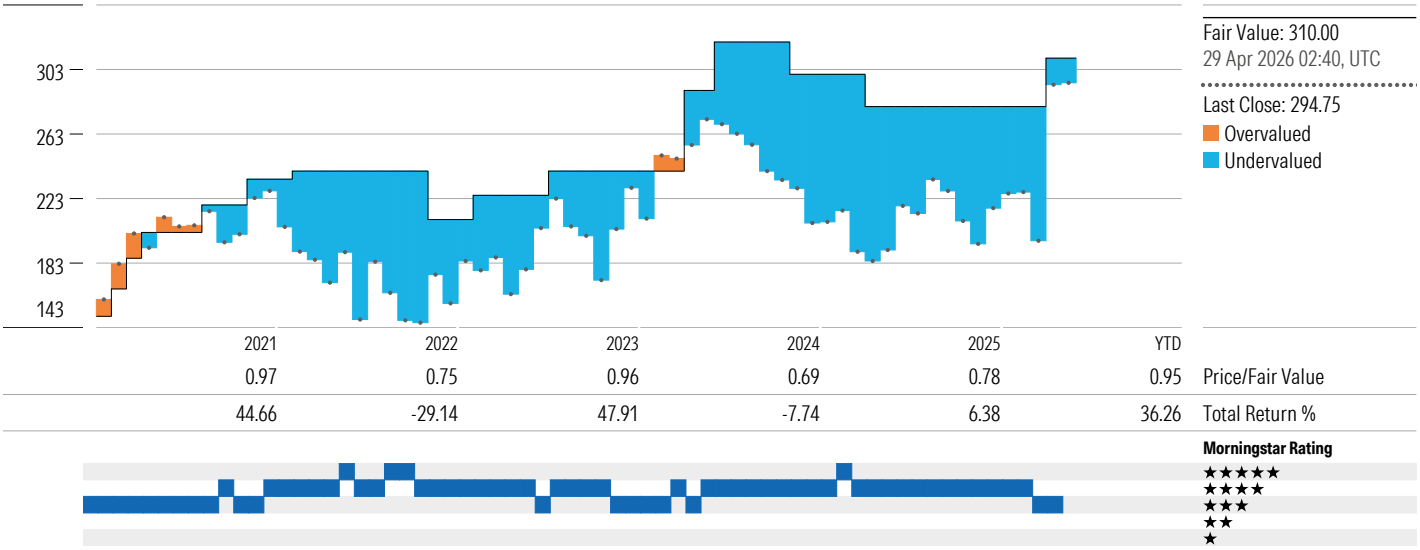
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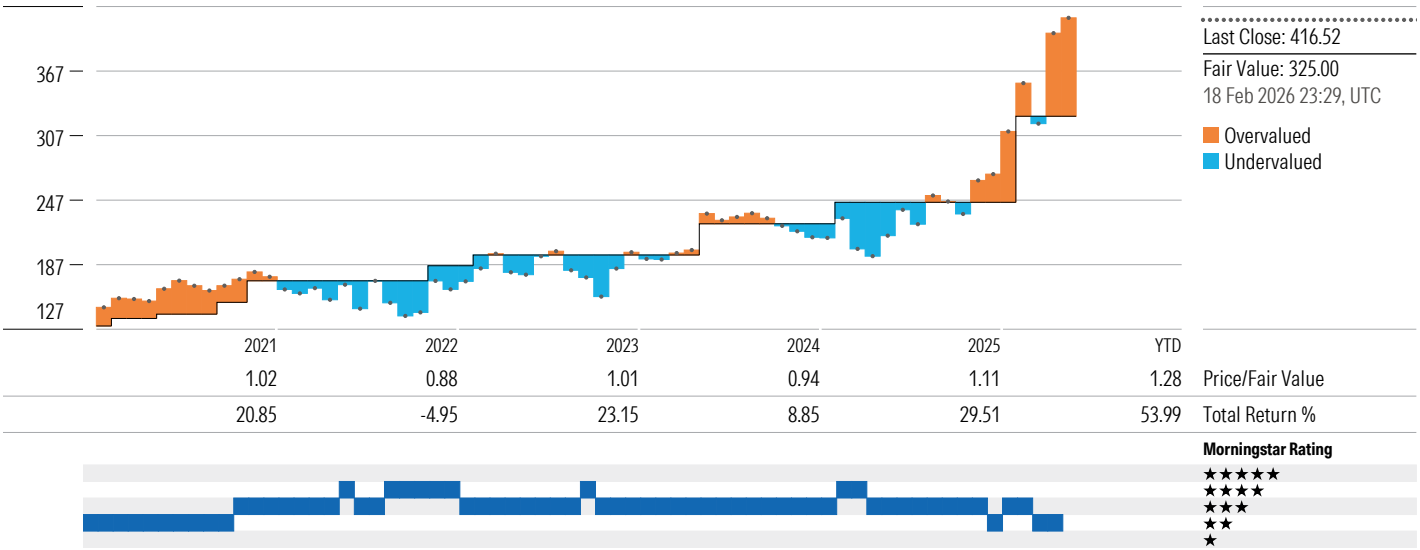
Competitors Price vs. Fair Value

NXP Semiconductors NV NXPI



Total Return % as of 08 May 2026. Last Close as of 08 May 2026. Fair Value as of 29 Apr 2026 02:40, UTC.

Analog Devices Inc ADI



Total Return % as of 08 May 2026. Last Close as of 08 May 2026. Fair Value as of 18 Feb 2026 23:29, UTC.

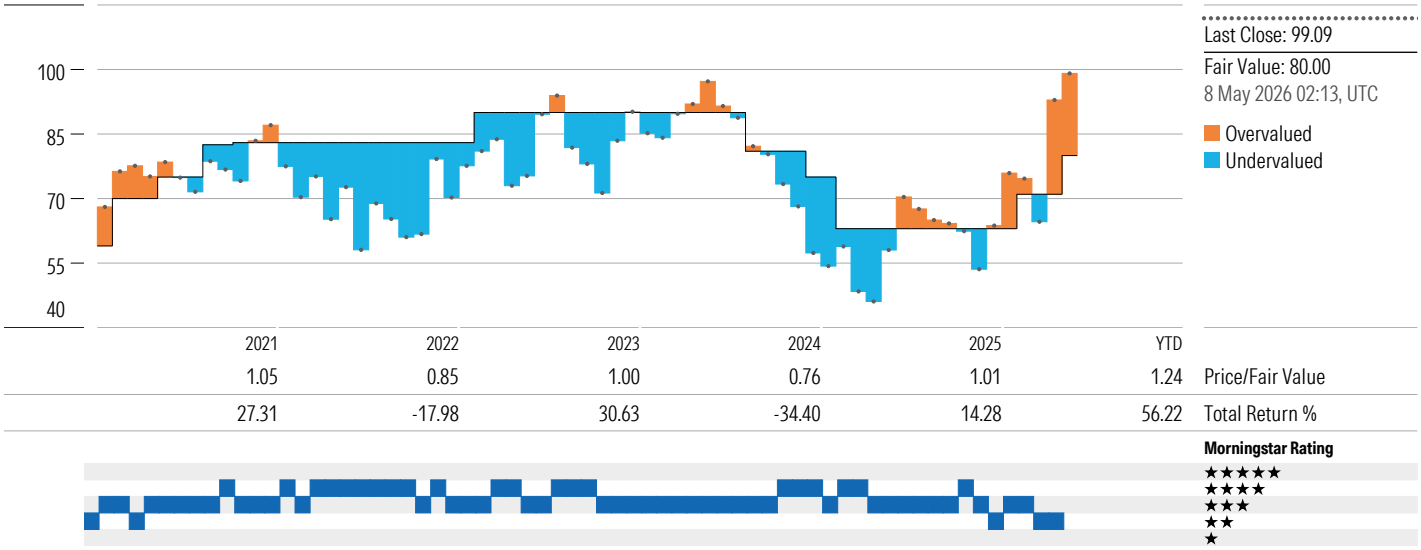
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Competitors Price vs. Fair Value

Microchip Technology Inc MCHP



	2021	2022	2023	2024	2025	YTD	
	1.05	0.85	1.00	0.76	1.01	1.24	Price/Fair Value
	27.31	-17.98	30.63	-34.40	14.28	56.22	Total Return %

Total Return % as of 08 May 2026. Last Close as of 08 May 2026. Fair Value as of 8 May 2026 02:13, UTC.

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Morningstar Valuation Model Summary

Financials as of 09 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	17,519	15,641	17,682	20,774	24,242	27,325	30,739	34,332
Operating Income (USD Mil)	7,331	5,341	6,140	8,476	11,080	13,379	15,934	18,626
EBITDA (USD Mil)	8,569	7,045	8,022	10,780	13,726	16,079	20,427	23,322
Adjusted EBITDA (USD Mil)	8,569	7,045	8,022	10,780	13,726	16,079	20,427	23,322
Net Income (USD Mil)	6,510	4,799	5,001	7,033	9,500	11,570	13,841	16,231
Adjusted Net Income (USD Mil)	6,476	4,774	4,973	6,997	9,464	11,534	13,805	16,195
Free Cash Flow To The Firm (USD Mil)	193	1,274	2,034	8,519	6,731	9,930	12,385	14,659
Weighted Average Diluted Shares Outstanding (Mil)	916	919	913	911	903	895	887	879
Earnings Per Share (Diluted) (USD)	7.11	5.22	5.48	7.72	10.52	12.93	15.60	18.47
Adjusted Earnings Per Share (Diluted) (USD)	7.07	5.20	5.45	7.68	10.48	12.89	15.56	18.42
Dividends Per Share (USD)	5.02	5.26	5.50	5.74	5.98	6.22	6.46	6.70

Margins & Returns as of 09 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	37.0	41.9	34.2	34.7	40.8	45.7	49.0	51.8	54.3	48.2
EBITDA Margin %	—	48.9	45.0	45.4	51.9	56.6	58.8	66.5	67.9	—
Adjusted EBITDA Margin %	—	48.9	45.0	45.4	51.9	56.6	58.8	66.5	67.9	60.4
Net Margin %	32.1	37.2	30.7	28.3	33.9	39.2	42.3	45.0	47.3	41.5
Adjusted Net Margin %	31.9	37.0	30.5	28.1	33.7	39.0	42.2	44.9	47.2	41.4
Free Cash Flow To The Firm Margin %	6.9	1.1	8.2	11.5	41.0	27.8	36.3	40.3	42.7	37.6

Growth & Ratios as of 09 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	-4.1	-12.5	-10.7	13.1	17.5	16.7	12.7	12.5	11.7	14.2
Operating Income Growth %	-16.1	-29.5	-27.2	15.0	38.0	30.7	20.7	19.1	16.9	24.9
EBITDA Growth %	-8.8	-22.6	-17.8	13.9	34.4	27.3	17.1	27.0	14.2	24.0
Adjusted EBITDA Growth %	-10.2	-22.6	-17.8	13.9	34.4	27.3	17.1	27.0	14.2	23.8
Earnings Per Share Growth %	-16.6	-24.8	-26.5	4.9	40.9	36.2	22.9	20.7	18.3	27.5
Adjusted Earnings Per Share Growth %	-16.6	-24.8	-26.5	4.8	41.0	36.4	23.0	20.8	18.4	27.5

Valuation as of 09 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	24.1	36.1	31.8	37.5	27.5	22.3	18.5	15.6
Price/Sales	8.8	10.9	8.9	12.6	10.8	9.6	8.5	7.6
Price/Book	9.2	10.2	9.7	15.5	13.9	11.5	9.0	7.0
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	18.3	25.1	20.7	25.1	19.7	16.8	13.3	11.6
EV/EBIT	21.4	33.1	27.1	32.0	24.4	20.2	17.0	14.5
Dividend Yield %	2.9	2.8	3.2	2.0	2.1	2.2	2.2	2.3
Dividend Payout %	71.0	101.3	101.0	74.7	57.1	48.3	41.5	36.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 09 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	20.1	13.5	14.5	20.3	25.8	28.5	29.8	29.7
ROE %	38.5	28.4	30.7	41.6	50.7	51.6	49.0	44.8
ROIC %	24.1	15.5	16.6	21.9	27.7	31.6	35.4	38.5

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	6.8	7.4	8.2	4.2	3.8	3.4	3.1	2.7
Assets/Equity	1.9	2.1	2.1	2.1	2.0	1.8	1.6	1.5
Net Debt/EBITDA	0.3	0.9	1.1	0.8	0.7	0.5	0.2	-0.1
Total Debt/EBITDA	1.3	1.9	1.8	1.2	0.9	0.7	0.5	0.4
EBITDA/ Net Interest Expense	-98.5	587.1	25.6	28.7	61.6	102.9	175.8	306.1

Forecast Revisions as of 11 May 2026	2026		2027		2028	
Prior data as of 22 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	310.00	259.90	—	—	—	—
Revenue (USD Mil)	20,774	20,774	24,242	23,320	27,325	25,297
Operating Income (USD Mil)	8,476	8,476	11,080	10,383	13,379	11,819
EBITDA (USD Mil)	10,780	10,780	13,726	13,029	16,079	14,519
Net Income (USD Mil)	6,997	6,997	9,464	8,872	11,534	10,189
Earnings Per Share (Diluted) (USD)	7.72	7.72	10.52	9.86	12.93	11.42
Adjusted Earnings Per Share (Diluted) (USD)	7.68	7.68	10.48	9.82	12.89	11.38
Dividends Per Share (USD)	5.74	5.74	5.98	5.98	6.22	6.22

Key Valuation Drivers as of 09 May 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	8.0
Stage II Investment Rate %	22.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 09 May 2026

	USD Mil
Present Value Stage I	38,747
Present Value Stage II	120,618
Present Value Stage III	124,228
Total Firm Value	**283,592**
Cash and Equivalents	4,881
Debt	14,048
Other Adjustments	0
Equity Value	**274,425**
Projected Diluted Shares	907
Fair Value per Share (USD)	**310.00**

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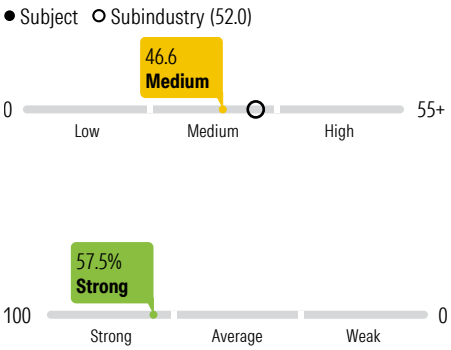
MORNINGSTAR®

Texas Instruments Inc TXN ★★★ 11 May 2026 18:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
287.80 USD 8 May 2026	310.00 USD 11 May 2026 18:56, UTC	0.93	268.25 USD Bil 11 May 2026	Wide	Large Blend	High	Exemplary	10 May 2026 05:00, UTC

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	46.6
– Manageable Risk	43.0
Unmanageable Risk[2]	**3.6**
Management	
Manageable Risk	43.0
– Managed Risk[3]	24.7
Management Gap[4]	**18.3**
Overall Unmanaged Risk	**21.8**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 57.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 10, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 10 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Texas Instruments Inc	46.6 | Medium	0	55+	57.5 | Strong	100	0	21.8 | Medium	0	40+
Microchip Technology Inc	45.0 | Medium	0	55+	52.2 | Strong	100	0	23.3 | Medium	0	40+
Analog Devices Inc	44.1 | Medium	0	55+	61.1 | Strong	100	0	19.0 | Low	0	40+
NXP Semiconductors NV	45.6 | Medium	0	55+	69.3 | Strong	100	0	16.4 | Low	0	40+
Maxscend Microelectronics Co Ltd	44.8 | Medium	0	55+	25.3 | Average	100	0	34.3 | High	0	40+

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Appendix

Historical Morningstar Rating

Texas Instruments Inc TXN 8 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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NXP Semiconductors NV NXPI 8 May 2026 05:00, UTC

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Analog Devices Inc ADI 8 May 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

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Microchip Technology Inc MCHP 8 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

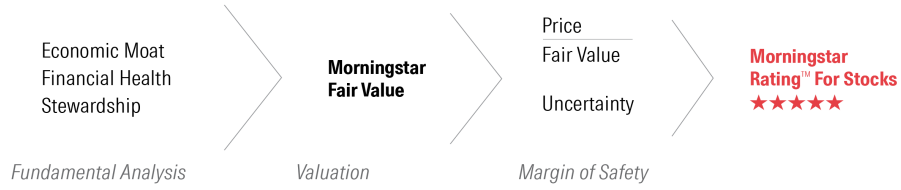
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

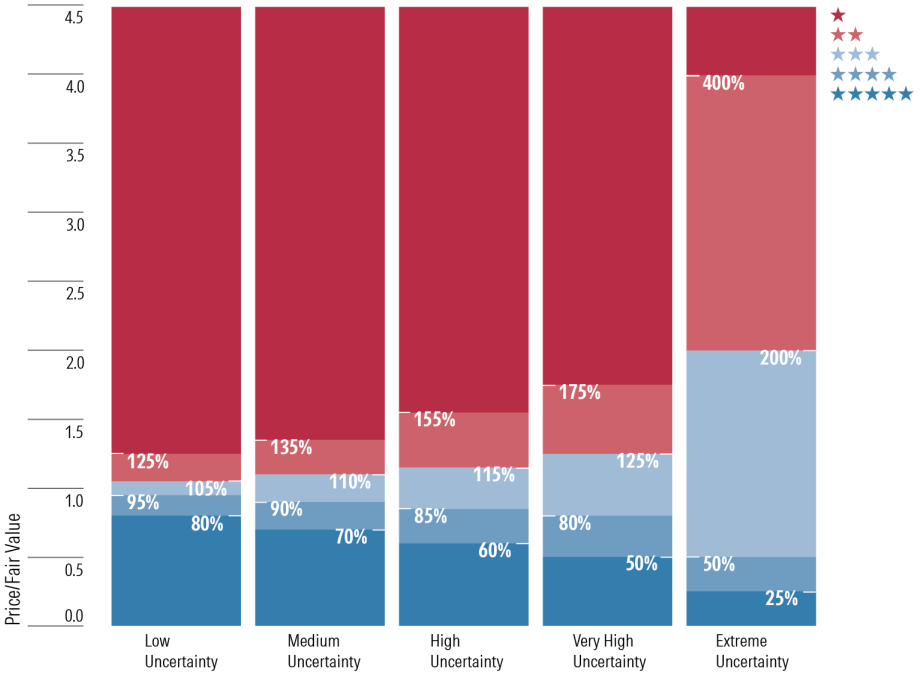
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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